S&P Capital IQ

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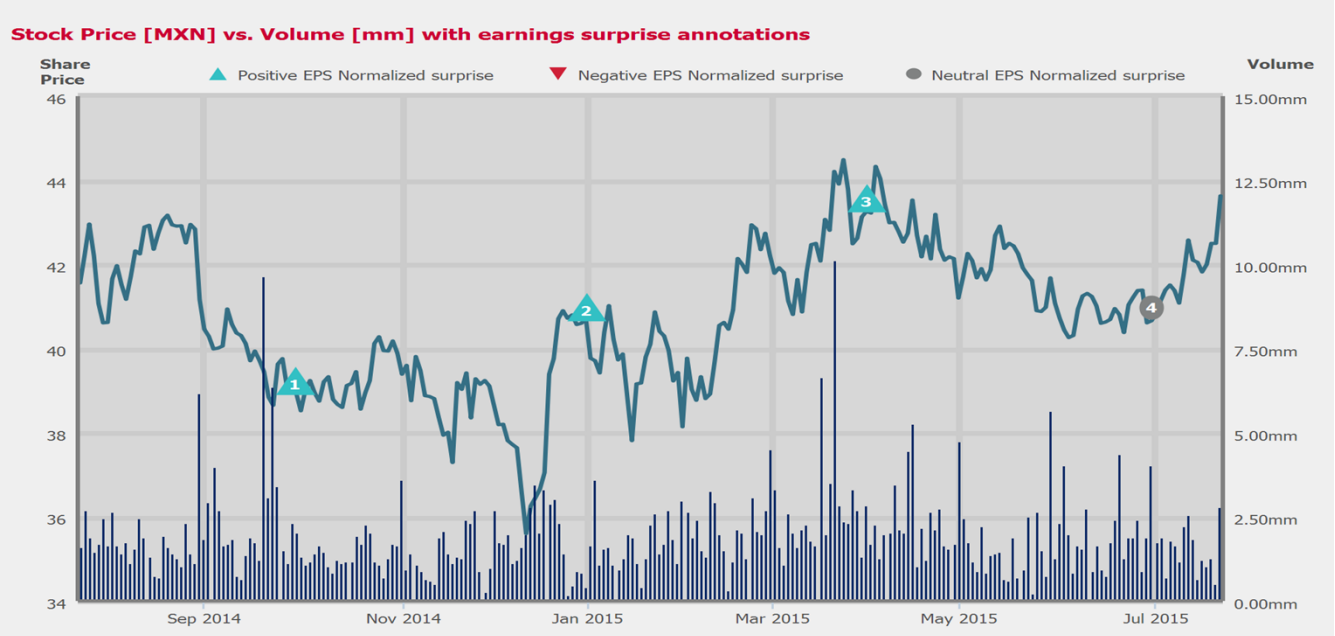
FQ3 2015 Earnings Call Transcripts

Friday, October 23, 2015 3:00 PM GMT

S&P Capital IQ Estimates

	-FQ3 2015-			-FQ4 2015-	-FY 2015-	-FY 2016-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.44	0.48	▲9.09	0.42	1.51	1.94
Revenue (mm)	56552.26	56219.00	▼(0.59 %)	59497.79	217024.21	228745.23

Currency: MXN
Consensus as of Oct-23-2015 3:35 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2014	0.38	0.41	▲1 7.89 %
FQ4 2014	0.38	0.52	▲2 36.84 %
FQ1 2015	0.16	0.19	▲3 18.75 %
FQ2 2015	0.37	0.37	●4 0.00 %

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Call Participants

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Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's First 9 Months Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements. I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning, everyone, and thank you for joining us. Time flies and here we are again. As you may have noticed on the earnings release yesterday, we're doing things a little different this quarter. And I will start by explaining a bit more about the changes to our reporting before we begin with our discussion of our results.

We're modifying our commentary and performance with the shift towards cumulative numbers and underlying trends. We will certainly highlight quarterly specifics when they are notable, or there is a material swing in performance. And when we do provide insight on the quarter, we will be -- we'll try to be as granular as possible. This allow us to recognize short-term fluctuations in results, while enabling us to focus on our value-creation strategy to strengthen our competitive advantages.

With that, let's look at the numbers. I'm pleased to report very strong consolidated performance year-to-date, with double-digit gains across the P&L. Starting with Mexico, sales growth was solid at 5.8%. Most of it driven by higher volumes over the course of the year. There are several factors powering this. Aside from consumers feeling more confident with overall spending on their life, we're seeing higher per capita consumption of sliced bread. Remember, Mexico has a fairly low penetration rate compared to North America, so there's more upside to come. Also, the Bimbo Marinela and Barcel brands are doing well this year, are performing in the cakes and in the salty snacks categories. On top of which, in the third quarter, the sweet baked goods and confectionary categories reversed their negative trend seen in earlier quarters.

Innovation has been another contributing factors to sales growth in the year. Not only new products and line extensions, such as Cerro Cerro [ph] Bimbo bread with no sugar or fats added, but also cross market replications like Villaggio bread, originally a Canadian brand.

We have also launched Takis brand flavors and varieties in Mexico and in other markets, meaning, that innovation is rolling through our system. I would also attribute sales growth to more point of sales, specifically in the traditional channel.

In terms of costs and expenses, even though raw materials have been impacted by the weaker Mexican peso, we were able to post record EBITDA margins, both in the 9 months and third quarter result as a result of effective hedging policies as well as manufacturing and logistic improvement. This include, among others, the closure of 2 facilities, one in Mexico City and the other in the south of the country; ongoing investment in throughput capacity and production lines, and the conversions of trays to baskets on our trucks.

Moving on to North America, which includes the U.S. and Canadian markets. Net sales were up almost 30% on the back of a stronger U.S. dollar and acquisitions in the past 12 months. Keep in mind that third quarter figures are primarily organic. It has now been more than a year since acquiring Canada Bread, and almost 4 years since the Sara Lee acquisition. Through all of the integration and transformation activities, we're focused on creating a world-class DSD operation optimizing our product portfolio and refining our

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trade strategies in order to drive profitable growth. Leveraging our strong portfolio, we're working to be a valuable supplier and partner to our customers. In addition, we strive to have strong partnerships with our independent operators and are pleased with the results to date.

In the United States, we had some volume softness at the top line due to the price increases implemented in the first half of the year. However, there are positive performances in the year for brands such as Oroweat, Ball Park, Little Bites and Thomas' English Muffins. We have also seen continued growth and geographic expansion in Nature's Harvest brand and Eureka!, which is our premium organic bread.

In the third quarter, specifically, we were excited for the original introduction of Sara Lee Artesano bread and the relaunch of Thomas' Swirl breads. As for operating performance in North America, restructuring expenses for the 9-month period were about half of the previous year's level, which along with productivity initiatives, helped offset integration-related expenses in the region and led to a significant 130 basis point expansion in the EBITDA margin. You should also expect that over the final months of 2015 and into 2016, we will allocate approximately CAD 40 million for IT integration across all of the Canada Bread operations.

In Latin America, sales have jumped more than 10% despite weaker economic conditions that are putting pressure on several markets across the region. I'm pleased to highlight strong growth in our Latin Centro division, including a strong turnaround in Panama. Our largest market in Latin America, Brazil, continues to generate high volume growth and to trend positively despite tough competition. Ecuador contributed with the Supan acquisition and also benefited from the relaunch of the Bimbo brand. It should be noted that the translation of certain currencies into Mexican pesos also contributed to the rising sales. Throughout the region, specialty breads, tortillas, mini cakes and pita breads have been growth categories for us this year. And the SANISSIMO brand is outperforming our expectations.

In manufacturing and distribution, efficiencies are helping us achieve cost savings, whether by eliminating redundancies or operating facilities, while IT investments are enhancing the go-to-market strategy in the whole region. We have started breaking ground for our Cordoba plant in Argentina. Based on that, we see opportunities to increase profitability of existing routes through better penetration and focusing on in-store performance.

Moving to Europe. The U.K. operation contributed to a 13% increase in sales. Iberia has been a bit more challenging this quarter due to private label price cuts. We have responded with targeted promotions and the launch of new formats, in part, using these as an opportunity to reposition our products. That aside, the cake market is growing in Spain, and we have also some successful launches around our Martina Sweetbay Goods run. As for the Panrico acquisition, authorizations are still pending, and we expect to complete the transaction at the end of this year.

Moving at our balance sheet, we closed the period at 3.1x total debt-to-EBITDA, down from the year-end 2000 figure. While the total debt position has increased because of the depreciation of the Mexican peso, which then increases the peso value of our U.S. dollar-denominated debt, our disciplined pay down schedule remains on track.

An important internal effort I want to highlight regarding our financial strategy is that we have adopted a zero-based budgeting approach that is starting in the Mexican operations and will be rolled it out in 2016 in the other regions. We believe this program will advance our objective of being a low-cost producer by increasing accountability for each line item in the budget.

Given the diversity of our global operations, I am proud of how agile, flexible and robust Grupo Bimbo is today. Our year-to-date figures demonstrate not only are we responding to macro challenges but [indiscernible] innovation, delighting consumers, and we're holding true to our values of doing good and doing well.

On that point, a few updates on our commitment to sustainability, health and well-being. In September, we announced our new policy to build a fully traceable and responsible palm oil supply-chain that would protect communities, workers and environment.

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Last month, we held our Global Energy race, and perhaps some of you were able to join in among the more than 70,000 people participating simultaneously in 1 day in 20 cities from 19 countries. I'm pleased that our efforts to promote physical activity and healthier lifestyles are drawing these kinds of crowds. And lastly, which is to put out a call to business leaders worldwide to add their willing voices to ours in advance of the December climate conference in Paris with the aim of having government set ambitious goals and complete steps to reduce carbon emissions.

Well, this concludes my remarks this morning. And we're now ready for the question-and-answer session.

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Question and Answer

Operator

[Operator Instructions] The first question comes from Luca Cipiccia with Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

I have 2. One, you made reference to the additional investments for the Canada operations in the coming quarter, I was hoping to get an update what we should look for, for the U.S. as well in terms of restructuring charges as we look into the end of the year and 2016? And then, secondly, I was hoping you could make some comments on the performance of the Mexican brands in the U.S., how that is developing, how relevant that is becoming, how much of an opportunity you see there as well as any meaningful difference in the growth that you see for that, maybe more of a niche opportunity at the moment, but was just curious how that is trending and if you could give us an update on that as well?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Luca. Fred, would you want to take a little bit of the answer and maybe I'll just finish on my play -- on my take on Barcel specifically, but you can take the other ones.

Alfred Penny
President of Bimbo Bakeries USA Inc

Luca, on U.S. restructuring specifically, we're consistent with what we talked about in prior quarters. On the year, we expect to be down more than half of what we were last year. And we were down more than half, I believe, in the third quarter as well, so in line with prior guidance and I see no real changes there. On the Mexican brands in the U.S., I'll let Daniel talk to Barcel. We have Bimbo and Marinela in the U.S., it's a significant portion of our sweet goods business. I'd say it's roughly 25%-or-so of our total U.S. sweet goods portfolio, and it's performing very well this year, as it has in prior years. And I think, there's more growth potential for both Bimbo and Marinela brands in the U.S. as we continue to...

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Is there a minimal -- meaningful differentials in growth between these brands and the rest of the portfolio when you say they're performing well, because I understand that category as well has been doing better. But we see in that category that 25% is outpacing the rest, so how would you categorize that mainly?

Alfred Penny
President of Bimbo Bakeries USA Inc

Well, to put a little more color on it, I would say it's a few points above average relative to the other parts of our sweet goods portfolio, but the gaps aren't very big. They're a couple of points, maybe.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, on the other brands, the confectionary and salty snack categories, I would say that we're doing very well as well. We have a separate team working on these categories with synergies also with the Bimbo bakeries business in many regions in the country, and we're very pleased with the growth. We have a plant in the U.S. focused on basically producing all these salty snacks items and we also do a lot of export from Mexico zone. And that's a growing business. Takis is, I would say, a very interesting brand with an appeal in all groups in the U.S. and especially very strong with the young generation. So we're building up our distribution networks and we're happy where we are there.

Luca Cipiccia

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Goldman Sachs Group Inc., Research Division

And just a couple. So now, from a Mexican brand portfolio in the U.S., what you have today is all -- let's say, it's complete, you're not going to transfer more brand, you're going to launch more brands, it's already established and you're growing on that basis, is that correct?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, we'll see ourselves not necessarily talking about Mexican brands. We have a stable of lot -- of brands that we apply whenever that's possible in the -- or adds value to the different businesses. And we might export from 1 country to the other 1. But at the end of the day, what we want to have is brands that resonate, that adds value on differentiation points to our consumers in the different markets. So with this, I would say brands originated in Mexico, but they are now global brands. Bimbo certainly is a truly global brand for us.

Operator

The next question comes from Lauren Torres with UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

In the quarter, we're once again seeing some good progression on the EBITDA margins, both in Mexico and North America. And I was curious to hear your thoughts, I mean, we're hearing a lot about productivity savings in the U.S. now that the restructuring is more or less behind us. I assume there's more upside here, too, on productivity efficiencies. And today, you're talking about ZBB implementation. So curious to get your perspective on the right margins for this business, whether it be your ability to improve efficiencies or improve the product mix, I mean, should we see some good development over the next year or 2?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Fred?

Alfred Penny
President of Bimbo Bakeries USA Inc

Well, good morning, Lauren, I'll speak to the U.S. operation. In prior calls, including going back a few years post the Sara Lee acquisition, we set a goal out of getting to a 10% EBITDA margin over time. And we're still holding to that. As you noted, we're making progress on that. This year, as in the last couple of years, our productivity and waste elimination driving cost out of the business has been and is this year's significant contributor to our improvement. Parts of our portfolio are growing. And as we look forward, and certainly, as I look forward, driving more growth while maintaining a strong focus on waste elimination and productivity as sort of the combination that's going to get us there over time.

Lauren Elaine Torres
UBS Investment Bank, Research Division

And in Mexico?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, we're happy with what we've been achieving. We're continually looking at opportunities to either drive profitable growth and on continuing to refine productivities. The results this year are, I would say, very, very strong and that has helped us also to contain some of the pressures arising from the depreciation of the Mexican peso. So I will say that from here on, our focus will be obviously on top line and cost savings, but I would focus more on the top line part in the future.

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Lauren Elaine Torres
UBS Investment Bank, Research Division

Okay. And if I could ask just a quick follow-up on the U.S., I guess, there's still some comments on competitive pricing pressure and the effect on your volumes in the quarter. Can you just give us a sense of what you're seeing if it's getting worse or it's basically staying same, just how the pricing environment looks like?

Alfred Penny
President of Bimbo Bakeries USA Inc

Sure. Our volume -- the volume pressure has been primarily, Lauren, in branded sliced bread for us and that's -- and private label, those are the 2 areas that have been the major sources of some of the volume softness. And in branded, it's both a function of pricing, as you noted, and also the fact that we've been working and we'll continue to work through SKU rationalization to make our portfolio more efficient. Taking out inefficient SKUs and trying to consolidate some of our brands. Just on a quarter-over-quarter basis for Q3, our net pricing is up about 5% and the remainder of the category -- the remainder of the whole category including private label is flat. And that has not changed over the last, I'll say, 2 to 3 months. And so, as I mentioned in the last call, we're making adjustments to our promotional strategy where we feel we need to and making some additional marketing investments and I expect those to improve some of the trends.

Operator

The next question comes from Fernando Ferreira with Bank of America.

Fernando Ferreira
BofA Merrill Lynch, Research Division

I have 2 questions in the U.S. First, on the top line. Can you discuss a little bit what was your currency neutral and organic growth or how your top line performed in that basis? And also, if you could discuss on a high-level, how the different categories performed? That would be the first question.

Alfred Penny
President of Bimbo Bakeries USA Inc

I will take the -- I'm not sure I have the exchange rate impact. I'll leave that to Guillermo, but our top line revenue was marginally down, but inside of that, our sweet goods portfolio was up, our breakfast portfolio was up, parts of our bread portfolio were up, but they were slightly offset by, again, branded sliced bread and private label volumes being pressured and down. So that's kind of the mix.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, basically, we have a very important FX impact coming from the U.S. basically. You will find that in dollar terms basically out about the same. So all of the increase shown in our charts are due to the dollar valuation against the Mexican peso.

Fernando Ferreira
BofA Merrill Lynch, Research Division

Perfect. And then, the second question relates to margins also on the U.S. business. I mean, it's been a while, we don't see margins above the 9% level, and that's closer to the target, I mean, the 10% to 11% we hear that you want to get to. I mean, just wanted to get a sense how sustainable do you think those margin levels are? And also, what can we expect for the fourth quarter, which is usually, I mean, seasonally has been a weaker quarter for you in terms of margins? So I just wanted to get a sense how the next quarters or the next year or so might behave on the profitability side.

Alfred Penny
President of Bimbo Bakeries USA Inc

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Yes, yes. Beyond the seasonality impact, I think, the margin improvement we're seeing is sustainable, and I expect us to build off it. The fourth quarter is seasonally lower, but I also expect it to be better than last year quarter-over-quarter. So I think, we should expect to see continued improvement on the margin overall for the U.S. operation.

Operator

The next question comes from Jeronimo De Guzman with Morgan Stanley.

Jeronimo De Guzman
Morgan Stanley, Research Division

Just had some questions, follow-up questions on the U.S. as well. Maybe if you could clarify or give us a view on how these restructuring charges, how you see them evolving in 2016 versus what you saw in 2015. And also, a more general question, I mean, we're still seeing this price competition, as you said, in sliced bread and private label, I just wanted to understand, I mean, how much of that intended target of 10%, how much do you rely on this side of the industry becoming more rational on the pricing side? And how much is more based on stuff you can actually control more?

Alfred Penny
President of Bimbo Bakeries USA Inc

Jeronimo, can you give me your first question again, please? And then I'll come back...

Jeronimo De Guzman
Morgan Stanley, Research Division

Yes. The restructuring charges in 2016 versus 2015.

Alfred Penny
President of Bimbo Bakeries USA Inc

I'd expect our restructuring charges to be down again in 2016 versus 2015. Not prepared to give more specific guidance on it, but they will be lower. Having said that, to the extent that we can continue to identify, and we're always looking for this, to identify additional opportunities to make the supply chain more efficient to take more cost out, we're certainly going to do that. But as it stands today, I'd expect us to continue to reduce our restructuring charges. Relative to pricing, I guess, I would say that the category remains competitive and that's not a surprise to us. We're implementing the strategies that we feel are right for our business to improve our financial performance and grow over time. Part of that is improving our realization and more specifically through improving the efficiency of our overall promotional strategy. And we're going to continue to work on that. But we're also going to obviously be paying attention to what the remainder of the category does and responding accordingly where we need to. And so, we'll have to see how that plays out. If you go back over the prior years, it's been consistently competitive, I would say. And so far, at least, it's still competitive, but we're certainly trying to make our promotional strategies more efficient.

Jeronimo De Guzman
Morgan Stanley, Research Division

Okay. Makes sense. And then, just a follow-up on Mexico. I wanted to understand, I mean, how do you see the thinking ahead? FX, I assume, could have more of a pressure on the results, given the lagging effect. I mean, do you think that the efficiency gains and the zero-based budgeting and the pricing can help offset some of these pressures? Or do you think you could start facing more pressure on the margin side there?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Well, as always, we try to stay close to the market. The costs associated to our -- basically, our commodity impact will eventually have a reflection on cost and maybe also on prices. But as of this month's period, with the hedges that we have, we're holding our own. And we'll accommodate accordingly in the future.

Operator

The next question comes from Alex Robarts with Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

I was hoping to get into a couple of points on the cost structure. And the first one is in the U.S., I mean, as we think about next year, I guess, the incremental information that we're getting on this call is this zero-based budgeting initiative that you're rolling out, I guess, first in the U.S. next year. And we've seen various variations of this ZBB depending on the consumer categories and such, but it sounds like it's early days. But it would be great if you could share with us a little bit your thinking about where you feel, I mean, you have room to increase efficiencies and when we think about the OpEx component versus the fixed cost elements. You're coming off of a multiyear restructuring and an optimization program in the U.S., so it seems to me that this could be a fairly material element and step up in your profitability level. And so anything around your goals and timing of this, what you are hoping to get in terms of the zero-based budgeting program? That's the first question. Second is on wheat, but if I could start with that one.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Alex, just a note on the plan that we have. Yes, it's -- I mean, we're hoping it will shed a lot of light on the different categories of the cost. And we're doing this globally. And we're starting piloting -- we have started piloting this in Mexico and we'll do that -- we'll roll out over the course of the year in the next regions. And I would have to say that we have been doing a good job on our procurement efforts. We have a now very good structure that has a global view on procurement. So over the years, we have taken the opportunity to be more efficient in our purchasing spend. This will add to our benefits, definitely. But I would say, we shouldn't be expecting a dramatic hike in a short period of time. So it will allow us to be more efficient to keep on reducing waste, whatever we find. I would say that, in general, we have been -- the philosophy of the company -- of a frugal company, so we've tried not to go overboard on expenses that don't add value to our consumers. And we're staying true to that philosophy. So yes, we expect improvements, but I would say that we're not expecting a dramatic improvement in any strategic region. So that's just a general comment. And I don't know if, Fred, if you want to add a strategic carry-on on this one.

Alfred Penny
President of Bimbo Bakeries USA Inc

Just a comment on the topic of efficiency or productivity, in general, for us. And you noted, Alex, that we came through a period of restructuring post Sara Lee, which involve closing a lot of bakeries and consolidating routes, et cetera, which I've talked about in the past. And the way I think about it is we're really moving into, call it, an optimization phase, which zero-based budgeting certainly can be a component of and be helpful in. But my view of it is that we have opportunity to drive efficiency across the entire supply chain right from the front end of the bakeries into the stores. Even over and above what the significant restructuring work was, that was really about integrating 2 large operations. And so our waste elimination going forward is going to be focused across the entire supply chain, but it's really about running it more efficiently in every part of the business, and so that's what we're working on.

Alexander Reid Robarts
Citigroup Inc, Research Division

Right. Okay. But it's safe to say then that it is a new initiative, zero-based budgeting that you expect to roll out in the United States next year, is that fair assumption?

Alfred Penny

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President of Bimbo Bakeries USA Inc

I think, to Daniel's point, it's going to be rolled out across Grupo Bimbo and it's going to take time. It's not something you can simply decide you're going to do and immediately drive the benefits of it. So I think Daniel made the point, we're in the early days, we have a pilot going on, and we're learning in that pilot, and we'll work on a rollout plan as we learn more about how effectively we're working in the pilot project.

Alexander Reid Robarts
Citigroup Inc, Research Division

Great, great. We'll look forward to following up on that. And I think, an interesting initiative indeed. I mean, the second piece of the cost question that I had is on wheat for Grupo Bimbo, as we think about next year. I mean, it seems pretty well-documented that we've got El Niño coming through and with the dryness that, that is expected to bring in, in Oceania, particularly the wheat outlook from Australia, has pressured the global wheat price. How should we -- and it seems that this particular El Niño was going to be a stronger one than the last few El Niños. So tell us or could you walk us through how you're just thinking about the wheat price on average next year? The hedging policy has been successful for you guys in blunting the impact of these, particularly wheat price movements. But any help as far as understanding where, specifically on wheat next year for the group, should we expect a little bit of incremental margin pressure? Or would you plan to be more tactical in your hedging? And any thoughts around the wheat cost for next year at Bimbo would be great.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. Alex, this is Guillermo. Let me share with you what is my opinion about that. I think that, basically, we have 2 impacts on that, one coming from the weak price expressed, obviously, in U.S. dollars; and the second one is exchange rate that also obviously don't impact the U.S.A., but impact the rest of the group. Now in both forces, I would bluntly tell you that we don't know what is going to happen, we are not in the business of guessing. What we have is we implemented a very disciplined hedging policy. I'm glad you mentioned that you think that we have been successful in Marinela. But I would say that I would like to define the success not as an advantage towards the spot market, but what we look for in our strategies both in raw material forward futures and the exchange rate derivative is stability. We want -- we'll just seek to have a reasonably shortened horizon for our business to change as a consequence of any huge changes in the environment. So that's all I can -- I would say we have -- our hedging policy goes from a minimum of 4 months, because we don't like any operation to be unprotected against some changes, up to 12 months. And as competitive situation in each market are different, our presence in each of our areas have freedom to decide within those [indiscernible] for months to 12 months. And in exchange derivatives, cost outside the U.S., I would say that where you're seeing an average of 6 months, that's why it's not possible to understand after -- our actual results cannot be understood with actual conditions of the market, we have to check them, differentiation in each of our markets.

Operator

Your next question comes from Hector Maya with Vector.

Hector Maya

Well, some of my questions have already been answered, but I would like to know if you could give us further details about your operations in Latin America and Europe regarding the decrease in operating income and EBITDA? Could we expect the change in trend in the midterm for these regions?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Hector. I would say that, secondly, as you know, the whole region has been affected on various fronts. One, slower growth and also the valuations in many countries. Despite that, I would say that we're happy with the underlying operating resource. It varies countries by countries. And in some of them, we're still doing significant changes or were under significant investments in our infrastructure. I would say, notably,

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Colombia and now still Argentina with the new building, it's in an investment and spending mode. We're seeing good growth, volume-wise, and the impact that we have this year reflects, I would say, significant investments in launching our IT platforms, especially on the commercial side, as we roll out our systems, the sales systems, in our distribution force throughout the region. So, yes, there is, I would say, specific investments in order to upgrade our capabilities. But I'm happy all-in-all with where the region is trending. Still, obviously, not satisfied with the numbers, but I think we're working towards a better number figure there.

Operator

The next question comes from Pedro Leduc with JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

First question would be on the Mexico EBITDA margin, probably one of the highest you've had for a third quarter in a while, close to 20%. And I was wondering if this is potentially something structural, given all the efforts you've done there, so if we could carry this a bit forward and into next year, if you might and just perhaps pass on the price increase or not do as much and how you're thinking about that? There was an earlier comment that you might just prioritize a little bit of the top line growth, so maybe just wondering how you're going to balance potentially top line with margins in Mexico again, and if this new higher level is something that's here to stay, that would be the first one.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

We're very happy with our results, as we commented. The team is always looking for opportunities to be more productive and to take advantage of our very efficient network of plants and distribution capabilities. But I would say that this is, as you mentioned, a very good quarter. And what's the future for us in the country, I mean, we'll try to maintain what we have.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Okay. And if I may have a follow-up on how do you feel about your current capital structure? I mean, is it on track to deleverage as you expected? This quarter's leverage didn't fall that much, even though EBITDA was quite strong. You mentioned part of it is FX-related, but wondering if how you're thinking about the rest, especially on the lever side going forward?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, Pedro, we are sticking to that strategy. Unfortunately, as you are mentioning, we weren't expecting this huge increase in the value of the U.S. dollar in peso terms. But even though we fear that, we were able to use a bit the leverage ratio. We will continue to do that. And also, adding to my comment, I would say that it is something that works very well for us. It's our amortization scheme. So as we all know, eventually, the huge impacts of devaluation are absorbed the economies in the long term. So we feel very comfortable that we don't have any short-term impact. We had exception of the amount of -- in pesos of interest payment, but we are very confident with our team and we will continue giving the highest priority with regard to deleveraging strategy.

Operator

The next question comes from Jeronimo Contreras with GBM.

Jeronimo Contreras Lerdo de Tejada
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

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Just a quick question. To when should we continue to see LATAM's profitability being tainted by the IT investments and distribution? And what are your expectations for profitability after these efficiencies are fully implemented?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Jeronimo, yes, the rollout of our commercial systems are basically happening this second semester and the first semester of next year. We still see good opportunities of expanding our assets, as I mentioned, in some countries. And we're on the planning stage for what are the plans for next year. So all in all, certainly, we're expecting better results for Latin America as a whole. And we, I mean, we, as you know, we don't give any guidance on results -- specific results for the company or the regions. But even though the outlook for the Latin American region is, as a whole, lower due to the economic situation in the different countries, I would say that we're bullish on what we could do ourselves in our particular categories and efficiency. So I would say that different countries are doing much better than they did operationally. So we hope it's going to be shown in the next year.

Operator

The next question comes from Sergio Delgado with Aventicum Capital.

Sergio Delgado

Could you please comment on the negative outlook by Moody's? And when do you expect that to be either rating to be affirmed and that outlook to be taken away or how your dialogue with the rating agency is and given that you have delevered after the negative outlook notice? So...

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Well, that situation hasn't changed in the near test. We have very close contact with all 3 agencies. And strategically, in the case of Moody's, we don't think they are -- they have the short-term plans changing the negative outlook. The methodology among the 3 agencies is very different. And so there, in our case, Moody's system methodology is a bit more conservative. So I think the outlook is stable in the negative side of it. So we are not expecting that. We haven't heard anything from them recently. So I think it would remain the same for the short term.

Sergio Delgado

Okay. Have they raised any concerns about the currency mismatch or potential additional acquisitions? What has been their feedback so far?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No. And by the way, we don't see we have any currency mismatch because all of our debt is basically U.S. dollars, about 3/4 of that, and the rest is in Canadian dollars. And all of this is completely backed as a natural hedge, hedged completely natural with our investments in the U.S. and Canada. So as you've seen in our results, the exchange losses are really, very, very, very small because we have done natural hedges. And so, they haven't mentioned anything specifically to answer to your question. And in the case of acquisitions, we haven't shared with them, as we've shared with you now, and we don't have anything important in the near future that should impact -- the waste condition is the way we're breaking adjacency.

Operator

This concludes our question-and-answer session. I would like to turn the conference back over to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Well, thank you, all, for your time today. Please, do not hesitate to contact us with any further comments or questions you might have, and we look forward to speaking with you soon.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

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